India was non-commital to the signing of the NPT and was "insensitive to human rights violations in Kashmir". Therefore, Indo–US relations did not improve but the Janata government realized the utility of special relationship that was initiated in 1971 with the Soviet Union. It got itself reconciled with the tilt in non-alignment and continued good relations with the Soviet Union.

As far as India's relations with her neighbours were concerned, there were tremendous improvements. The Janata government made possible the Salal Agreement with Pakistan. The Indo–Bangladesh Agreement on Ganga Water Sharing was also concluded. Two separate agreements on Trade and Transit were signed with Nepal. Atal Bihari Vajpayee, the then External Affairs Minister, made every effort to improve India's relation with her South Asian neighbours which he propounded as 'beneficial bilateralism'. Critics often point out that the shifts in the policy that were visible in the foreign policy under Janata government were neither new nor a marked departure from the earlier policies. They were just continuing adjustments according to the needs of the time in domestic and external contexts.

Rajiv Gandhi (1984–1989): The Globalization Spree

After the assassination of Mrs. Gandhi in October 1984, Rajiv Gandhi became the youngest Prime Minister of India. He was inexperienced but "A young man with a modern outlook, Rajiv Gandhi was a technophile with great faith in modern management ways".

His foreign policy did not mark a departure from his predecessors'. His worldview reflected the perspectives of Nehru and Mrs. Gandhi. Rajiv Gandhi was in favour of nuclear disarmament, consolidation of non-aligned movement, reaffirming faith in the United Nations, supporting the struggle against racialism, and was inclined to work for narrowing the international economic disparities.

On 28th January 1985, a Six-Nation Meeting was held in New Delhi attended by Sweden, Mexico, Greece, Tanzania, Argentina and India which was presided over by Rajiv Gandhi. He made an appeal to the five nuclear powers (USA, Russia, France, Britain and China) to stop further production and testing of nuclear devices as the "first credible